

26STCP02081 26STCP02081

County: los-angeles

Division: Civil Law and Motion

Department: 508

Hearing date: 2026-08-07

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Case Number: 26STCP02081 Hearing Date: August 7, 2026 Dept: 508

Superior Court of California

County of Los Angeles

Department

508

In Re Petition of:

SALMY DRIVE, LLC,

Petitioner

(Real Party in Interest:

ANTHONY HERNANDEZ)

Case No.:

26STCP02081

Hearing Date:

August 7, 2026

Hearing Time:

10:00 a.m.

[TENTATIVE] ORDER RE:

VERIFIED PETITION

FOR TRANSFER OF STRUCTURED SETTLEMENT PAYMENT RIGHTS

Background

On

June 2, 2026, Petitioner Salmy Drive, LLC ("Petitioner") filed the instant petition for approval of transfer of structured settlement payment rights.

Petitioner

now moves for an order approving transfer of structured settlement payment rights pursuant to California Insurance Code §10134 et seq. On July 13, 2026, Petitioner filed an amended motion. Specially Appearing Interested Party Berkshire Hathaway Life Insurance Company of Nebraska ("BHLN") filed a response.

The

payee of the structured settlement payments is Anthony Hernandez ("Payee"). Payee is the recipient of structured settlement payments from BHLN, the Structured Settlement Obligor. (Pet., ¶ 3.) BHG Structured Settlements, Inc. (the "Obligor") issued an insurance contract to fund the structured settlement payment obligations of the Obligor. (Pet., ¶ 4.)

Payee

entered into a transfer agreement to transfer structured settlement payment rights to Petitioner.

Discussion

Under the transfer agreement entered into on April 28, 2026, Payee agreed to transfer one payment of \$265,000, in exchange for a purchase price of \$150,313.98. (Pet., Exs. A-B.) The disclosure notice states, "[t]hose future payments have a discounted present value equal to Two Hundred Two Thousand Two Hundred Twenty-Two Dollars and 14/100 (\$202,222.14), calculated by applying the discount rate of 4.6% percent utilized by the Internal Revenue Service to value annuities in probate proceedings." (Pet., Exs. A, G.) The purchase price was calculated using a discount rate of 10.68 percent, and

states that “[i]f you did not sell your right to receive structured settlement payments, but instead borrowed the net amount of \$150,313.98 and paid that loan back, in installments with each of the payments you are now selling, the equivalent interest rate you would be paying for that loan would be 10.68% per year.” (Pet., Exs. A, G.)

Under

Insurance Code section 10139.5, subdivision (b), “[w]hen determining whether the proposed transfer should be approved, including whether the transfer is fair, reasonable, and in the payee’s best interest, taking into account the welfare and support of the payee’s dependents, the court shall consider the totality of the circumstances.” Some key factors the Court may consider are “(1) The reasonable preference and desire of the payee to complete the proposed transaction, taking into account the payee’s age, mental capacity, legal knowledge, and apparent maturity level. (2) The stated purpose of the transfer. (3) The payee’s financial and economic situation. (4) The terms of the transaction, including whether the payee is transferring monthly or lump sum payments or all or a portion of his or her future payments.”

Petitioner submits the

Declaration of Anthony Hernandez, Payee, in

support of the petition. Payee states that “[t]he original structured settlement was the result of a personal injury claim around 2012,” and “[t]he future structured settlement payments that I am selling now were not intended to be used to pay for future medical care and/or medical treatment.” (Pet., Ex. H; Hernandez Decl., ¶¶ 8-9.) Payee is 18 years old, is not married, has no dependants, and is currently unemployed. (Id., at ¶¶ 2-3.) Payee says, if approved, he “will receive the sum of \$150,313.98 in exchange for the sale and transfer of: 3 ANNUAL PAYMENTS OF \$30,000.00 BEGINNING 3/27/2027 THROUGH AND INCLUDING 3/27/2029, 1 LUMP SUM OF \$50,000.00 DUE 3/27/2031, 1 LUMP SUM OF \$55,000.00 DUE 3/27/2034 AND 1 LUMP SUM OF \$70,000.00 DUE 3/27/2038.” (Id., at ¶ 4.) Payee explains that he has not previously assigned structured settlement payments, he believes this is fair and reasonable, and he seeks to use the funds “for vehicle repairs, to pay for college tuition and for starting a business.” (Id., at ¶¶ 5-7.) Payee states that “[t]his transfer is also the only financial option available to accomplish the financial goals stated herein because my current FICO score is poor; and neither banks nor other traditional lending institutions will allow me to pledge a ‘structured settlement annuity’ as a form of collateral and/or

security for a loan as I am only the beneficiary and not the actual owner of the underlying annuity.” (Id., at ¶ 10.) Payee’s declaration complies with the requirements of Insurance Code section 10139.5, subdivision (c).

Under Insurance Code section 10136, subdivision (b), “[t]en or more days before the payee executes a transfer agreement, the transferee shall provide the payee with a separate written disclosure statement, accurately completed with the information that applies to the transfer agreement ... in at least 12-point type.” Petitioner complied, and Payee attests that he “at least 10 days prior to the date that I signed the Purchase Agreement, I received and read a separate written disclosure required by California Insurance Code section 10136(b), attached to the underlying Petition as Exhibit ‘B’ and incorporated herein by reference.” (Pet., Ex. H, Hernandez Decl., ¶ 12; see Exs. A, B, G.) Additionally, Payee attests that “[a]s part of that separate written disclosure, I have been advised by the Transferee that I should get independent legal or financial advice from an accountant or lawyer experienced in tax matters about any income tax consequences that may result from selling my structured settlement payments, and about whether selling my structured settlement payments is a good idea for me and for my dependents; and that the Transferee may not refer me to any specific adviser for that purpose. I have my personal attorney that is helping me with this transaction.” (Pet., Ex. H, Hernandez Decl., ¶ 13.) The disclosure complies with Insurance Code section 10136, subdivision (b), by stating all the information and other disclosures required by this section.

Pursuant to Insurance Code section 10136, subdivision (c), “[t]he transfer agreement shall be written in at least 12-point type and shall be complete and without blank spaces to be completed after the payee’s signature. The transfer agreement shall set forth clear and conspicuously, and in no less than 12-point type” certain information specified in Insurance Code section 10136, subdivision (c). The agreement complies with this requirement.

Insurance Code section 10138 prohibits certain provisions. The transfer agreement does not contain any of the prohibited provisions. The transfer agreement also complies with provisions set forth in Insurance Code section 10139.3.

Additionally,

pursuant to Insurance Code section 10139.5, subdivision (f)(2), "[n]ot less than 20 days prior to the scheduled hearing on any petition for approval of a transfer of structured settlement payment rights under this article, the transferee shall file with the court and serve on all interested parties a notice of the proposed transfer and the petition for its authorization," and shall include with that notice, inter alia, "[a] copy of the proposed transfer agreement and disclosure form required by paragraph (3) of subdivision (a)," "[a] copy of the disclosure required in subdivision (b) of Section 10136," "[n]otification that any interested party is entitled to support, oppose, or otherwise respond to the transferee's petition, either in person or by counsel, by submitting written comments to the court or by participating in the hearing," and "[n]otification of the time and place of the hearing and notification of the manner in which and the time by which written responses to the petition must be filed, which may not be less than 15 days after service of the transferee's notice, in order to be considered by the court." (Ins. Code, § 10139.5, subds. (f)(2)(B), (D), (J), (K).) The notice also requires a copy of the annuity contract, a copy of any qualified assignment agreement, and a copy of the underlying structured settlement agreement, if available. (Ins. Code, § 10139.5, subds. (f)(2)(E)-(G).) "If a copy of a document described in subparagraph (E), (F), or (G) is unavailable or cannot be located, then the transferee is not required to attach a copy of that document to the petition or notice of the proposed transfer if the transferee satisfies the court that reasonable efforts to locate and secure a copy of the document have been made, including making inquiry with the payee. If the documents are available, but contain a confidentiality or non-disclosure provision, then the transferee shall summarize in the petition the payments due and owing to the payee, and, if requested by the court, shall provide copies of the documents to the court at a scheduled hearing." (Ins. Code, § 10139.5, subd. (f)(2)(H).)

As

BHLN points out in its response, Petitioner failed to comply with these provisions. Although Petitioner "filed the Minor's Compromise, it did not provide copies of documents required by statute, specifically, the BHLN contract, the qualified assignment or the underlying settlement agreement." (Reply, 3:2-4.) BHLN asserts that Petitioner "does not claim that these documents are unavailable, nor did it offer evidence that it took any such efforts. It simply did not provide them. From numerous previous transactions with BHLN payees, Salmly is aware that BHLN maintains copies of settlement documents in its files and will provide them to payees upon their written

request. As of the date hereof, BHLN has not received any requests from Mr. Hernandez for documents in connection with his proposed transaction with Salmy.” (Reply, 3:7-12.) The Court finds that Petitioner did not provide the required contracts, nor does Petitioner attest or explain the unsuccessful efforts Petitioner took to get the documents. Accordingly, the Court must deny the instant petition on procedural grounds.

BHLN's response also points out that Payee's discussion of his plans with the funds is “unclear.” (Reply, 6:2.) BHLN also suggests that the Court should consider ordering Payee “to demonstrate he has obtained independent professional advice. Further, if the Court believes Mr. Hernandez does not understand the implications of the proposed transfer, it can deny or defer its ruling until he consults with an independent advisor.” (Reply, 7:7-10.)

BHLN

further asserts that “[t]he Minor’s Compromise, Exhibit ‘J’ to the Petition, shows that the Atlas Settlement Group (a structured settlement consultant) spent considerable time and effort designing this settlement and presenting it to Mr. Hernandez’s guardian and attorneys. Moreover, the settlement specifically contemplated that Mr. Hernandez would go to college and, as a result, allocated four annual payments to pay for his education.” (Reply, 7:19-23.) BHLN also contends that “[c]hanging the structured settlement plan undermines the longer-term goals of the original settlement. As such, the early sale of structured settlement payments should be a rare, last-resort event, geared toward addressing a payee’s significant, unanticipated hardship. Under the Transfer Act, the Legislature specifically requires special procedures for the transfers of structured settlement payments; factoring companies are given the opportunity to provide a limited service when in the payee’s best interests. The court is the payee’s last line of protection. The payee should only deviate from the settlement’s original structure after the court is satisfied that the payee has sound reasons for the proposed transfer and a plan for successfully using the funds if the transfer is approved.” (Reply, 8:9-17.)

BHLN

also offers Payee an alternative: the BIFCO Program. BHLN contends this is an alternative benefit for BHLN payees, and that if Payee “presents sufficient information to the Court to demonstrate that a transfer is in his best interests, BIFCO would enter into a transaction with him. Because he appears to have no other sources of income, BIFCO would suggest a transaction that is

sufficient for him to accomplish his goals, while preserving as much of these future payments as possible.” (Reply, 10:18-22.) BHLN asserts that if Payee “were to contract with BIFCO to receive the same approximately \$150,000.00 he currently is prepared to accept from Salmy, BIFCO would purchase approximately \$215,000.00 in future payment rights (pro rata portions of the future payments) calculated at an effective ADR of approximately 6.64%. This would allow him to retain almost \$50,000.00 more in future payments to be paid on the schedule set forth in the Contract compared to Salmy’s proposed transaction. Alternatively, if BIFCO were to contract to purchase from Mr. Hernandez the same \$265,000.00 in future payments, it would pay approximately \$185,300.00. He would thus receive about \$35,000.00 more from BIFCO than he would receive from Salmy.” (Reply, 10:25-11:6.)

Based

on the foregoing, the Court denies the instant petition. Not only is the petition missing papers, as noted above, but BHLN presents very reasonable considerations. Payee seeks the money to start a business, pay for car repairs, and pay for college. However, the current structured settlement provides yearly payments so that Payee may pay for college. Additionally, it is unclear what type of business Payee seeks to open and the cost of said business. Payee does not explain what repairs his vehicle needs, nor does he mention the cost. Although Payee stated he had his personal attorney assist, it is unclear who this attorney is and to what extent the attorney helped. Additionally, BHLN’s presentation of a different transferred settlement scheme, where Payee would get a larger payout, is another important consideration for Payee. The instant petition is denied because it is not statutorily compliant, and it is unclear that the transfer of Payee’s structured settlement is in his best interest.

Conclusion

Based on the foregoing, the petition is DENIED without prejudice.

Petitioner is ordered to provide notice of this Order.

DATED: August
7, 2026

Hon. Teresa A. Beaudet

Judge, Los Angeles Superior
Court